

Isolation Forest

Goal of This Lesson:

You'll learn how to:

1. Prepare your data
 2. Use `IsolationForest` to detect anomalies
 3. Interpret the results
-

Prerequisites:

You should already have:

- A clean dataframe (`df_model`)
- All features numeric (we did one-hot encoding)
- Features scaled (`X_scaled`)

We'll assume `X_scaled` is your input.

◆ Step 1: Import and Initialize the Model

python

📄 Kopiuuj

✎ Edytuj

```
from sklearn.ensemble import IsolationForest

# Create the model
iso_forest = IsolationForest(
    n_estimators=100,          # number of trees
    contamination=0.02,       # roughly how many outliers we expect (2%)
    random_state=42
)
```

◆ Step 2: Fit the Model on the Data

python

📄 Kopiuuj

✎ Edytuj

```
# Fit the model to the scaled feature data  
iso_forest.fit(X_scaled)
```

This builds an ensemble of trees, each learning to isolate unusual patterns.

◆ Step 3: Predict Anomalies

python

📋 Kopiuuj

✎ Edytuj

```
# Get predictions
labels = iso_forest.predict(X_scaled)
```

This returns:

- 1 → normal
- -1 → anomaly

To turn this into a column in your dataframe:

python

📋 Kopiuuj

✎ Edytuj

```
df_model['AnomalyLabel'] = labels
```

◆ Step 4: View Anomalies

python

📄 Kopiuuj

✎ Edytuj

```
# Filter the anomalous rows
```

```
anomalies = df_model[df_model['AnomalyLabel'] == -1]
```

```
# See the top 5
```

```
anomalies.head()
```

Now you can manually inspect what makes them different:

- Are the amounts high?
- Was the time weird?
- Are login attempts suspicious?

How Does It Work?

- Randomly splits features
- Measures how *easily* each point gets isolated
- Fewer splits = more anomalous

You don't tell it what fraud looks like — it figures out what's *unusual*.

Try It Yourself

If you're coding along, run:

python

 Kopiuuj

 Edytuj

```
from sklearn.ensemble import IsolationForest
iso = IsolationForest(contamination=0.02, random_state=42)
iso.fit(X_scaled)
df_model['anomaly'] = iso.predict(X_scaled)
df_model[df_model['anomaly'] == -1].head()
```




Why "Isolation Forest"?

It comes from a scientific paper published in 2008:

"Isolation Forest"

Fei Tony Liu, Kai Ming Ting, Zhi-Hua Zhou

Proceedings of the 2008 IEEE International Conference on Data Mining (ICDM)

The name describes how the algorithm thinks about anomalies.



The Core Idea:

Anomalies are easier to isolate.

In a nutshell:

Imagine you randomly split data points (like a decision tree):

- **Normal points** are in dense clusters → it takes **many splits** to isolate them.
- **Anomalies** are off by themselves → they can be **isolated in fewer splits**.

 *The fewer splits it takes to isolate a point, the more likely it's an anomaly.*



Why "Forest"?

Because the algorithm builds not just one tree — but a **whole forest of random trees** (like Random Forests).

Each tree tries to randomly split the data and "trap" points.

Then it asks:

- On average, how many steps does it take to isolate this point?
- If the average is **low**, it's **weird** (anomalous).
- If it takes many steps, it's **normal**.

Scientific Foundation

Concept	Explanation
Isolation	Based on how easy it is to separate a point
Tree	Randomly split data recursively
Forest	Multiple trees give stable, averaged results
No density, no distance	Unlike other methods (e.g. kNN), it doesn't compute distance or density — only isolation

It's fast, scalable, and **doesn't require assumptions about distribution** — which is why it's widely used in fraud detection, security, and health monitoring.

So in one sentence:

The Isolation Forest algorithm is named for its ability to isolate anomalies quickly through random splits across a forest of trees.

What is K-Means?

K-Means is an algorithm that:

- Groups similar data points into clusters
- Finds the "**center**" (**mean**) of each group
- Repeats until the groups are stable

It's called **K-Means** because:

- **K** = number of clusters you ask for
- "Means" = based on **averages** of the points in each group



Use Case:

You don't know what the labels should be. You want to see how your data naturally groups itself.



What You'll Learn

By the end of this, you'll know how to:

1. Prepare data for clustering
2. Fit `KMeans` using scikit-learn
3. Visualize the clusters (in 2D using PCA)
4. Interpret the results

Step-by-Step Guide

◆ Step 1: Import the Model

python

 Kopiuuj

 Edytuj

```
from sklearn.cluster import KMeans
```

◆ Step 2: Fit the Model

You choose **K** (number of clusters) up front.

python

📄 Kopiuuj

✎ Edytuj

```
kmeans = KMeans(n_clusters=3, random_state=42)
kmeans.fit(X_scaled)  # X_scaled = your clean, scaled dataset
```


◆ Step 3: Get Cluster Assignments

python

📄 Kopiuuj

✎ Edytuj

```
cluster_labels = kmeans.labels_ # Each point now has a cluster ID
```

Add it to your dataframe:

python

📄 Kopiuuj

✎ Edytuj

```
df_model['Cluster'] = cluster_labels
```

◆ Step 4: Visualize the Clusters

Let's plot them in 2D using PCA:

python

📄 Kopiuuj

✎ Edytuj

```
plt.figure(figsize=(8, 6))
plt.scatter(X_pca[:, 0], X_pca[:, 1], c=cluster_labels, cmap='viridis')
plt.title('K-Means Clustering (PCA Projection)')
plt.xlabel('PC 1')
plt.ylabel('PC 2')
plt.colorbar(label='Cluster')
plt.grid(True)
plt.show()
```

How Does It Work?

Step	What K-Means Does
1	Randomly chooses K centroids
2	Assigns each point to the closest centroid
3	Recalculates centroids based on current members
4	Repeats until clusters don't change much

It **doesn't know labels** — it just finds **natural groupings**.

Tips & Gotchas

Tip	Why it matters
Scale your features	K-Means is distance-based
Try different K values	Use elbow method or silhouette score
PCA is just for plotting	K-Means runs in full feature space

Bonus: Want to choose the best `k`?

Try the **elbow method**:

python

 Kopiuuj

 Edytuj

```
inertias = []
for k in range(1, 10):
    km = KMeans(n_clusters=k, random_state=42)
    km.fit(X_scaled)
    inertias.append(km.inertia_)

plt.plot(range(1, 10), inertias, marker='o')
plt.title('Elbow Method For Optimal k')
plt.xlabel('Number of Clusters')
plt.ylabel('Inertia')
plt.show()
```

Recap of What You Just Learned:

Step	Skill
 KMeans	Unsupervised clustering
 PCA + Plot	Visualization of clusters
 Elbow method	Model selection strategy
 Label-free analysis	Pure data exploration